

Is Olist's delivery network really collapsing?

"Review scores are falling, and Support says delay complaints are at an all-time high. Commercial is blaming the carriers. I need numbers I can defend at next Monday's board meeting."

Marcos Silva, Head of Logistics

40,270

delivered orders analysed

27

Brazilian states

6 months

January to June 2018

What needed to be checked

Marcos's claims

- Are late deliveries getting worse?
- Are reviews really falling, and why?
- Is it the carriers' fault?

My own checks

- Is the national number hiding weak regions?
- Could cancelled orders explain the bad reviews?
- Did delivery really improve, or did Olist just promise longer delivery times?

THE ANSWER

The crisis was real in Q1, and it is already recovering

1 · DELAYS

Late deliveries fell from 12.88% to 4.17%, and delivery got about 5 days faster.

2 · REVIEWS

Complaints rose and fell with late deliveries; a late order scores about 2 stars lower.

3 · CAUSE

Late orders lose their time with the carrier: 30.80 days in transit, versus 9.50 on time.

4 · STILL AT RISK

Bahia, Pará and Ceará remain above 12% late.

1 • DELAYS

Late deliveries fell from 12.88% to 4.17%, and delivery really got faster

Late delivery rate

12.88%



Q1

4.17%

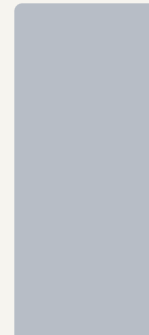


Q2

Days from purchase to delivery

■ Promised ■ Actual

24.92

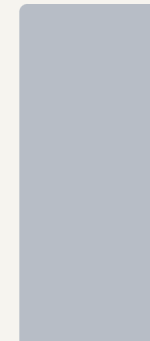


Q1

15.67



25.31



Q2

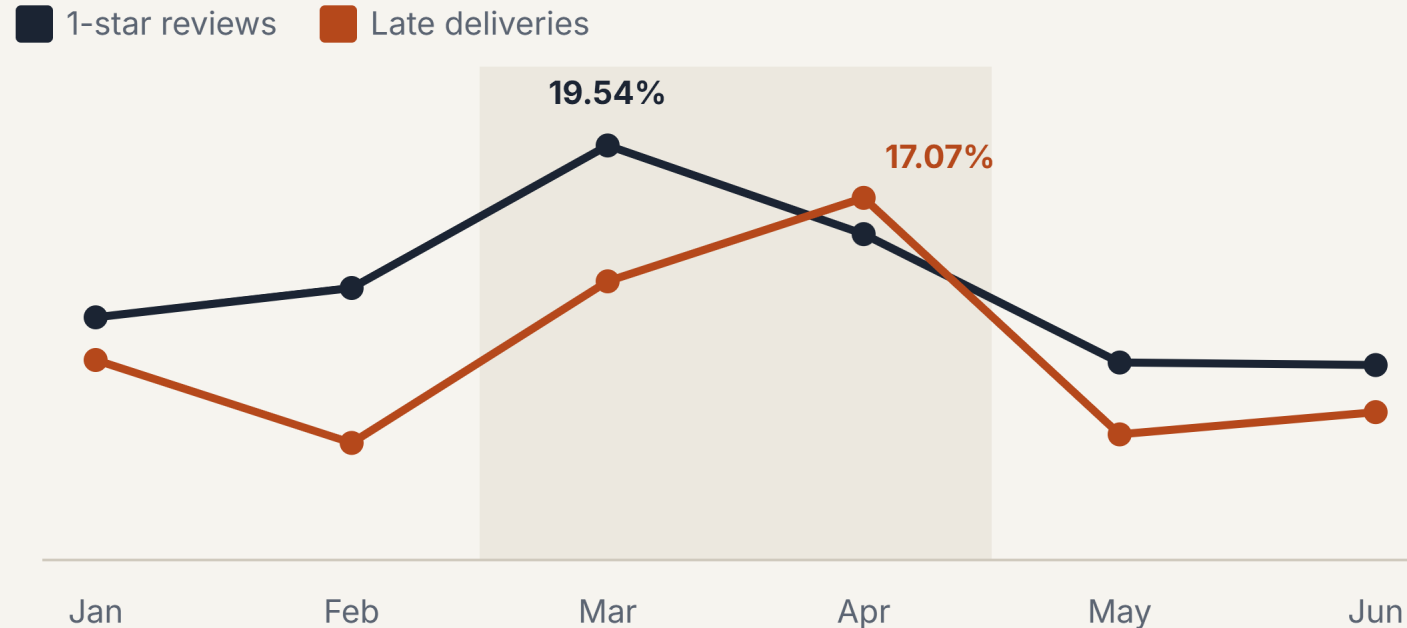
10.69



The promise stayed around 25 days while actual delivery got about 5 days faster. The drop is real.

2 · REVIEWS

Complaints rose and fell together with late deliveries



Both peaked in March and April.

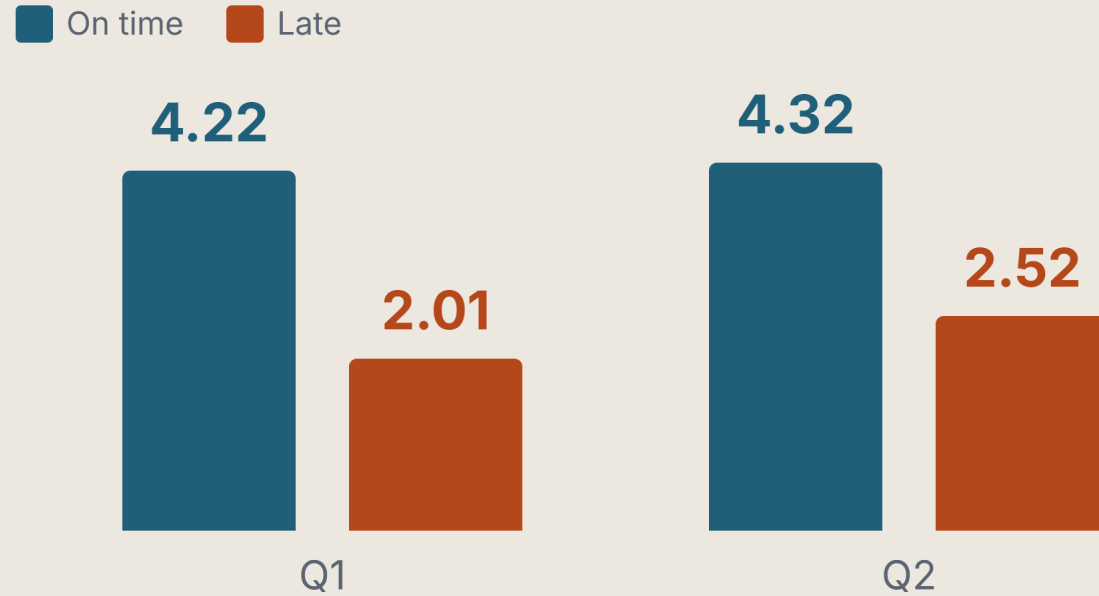
By May, late deliveries were back to 5.92% and one-star reviews to 9.31%.

The dashboard alarm came from a spike that was already ending.

Late deliveries by delivery month; 1-star reviews by review month; shaded: March and April

2 · REVIEWS

A late delivery costs about 2 stars



−2.21

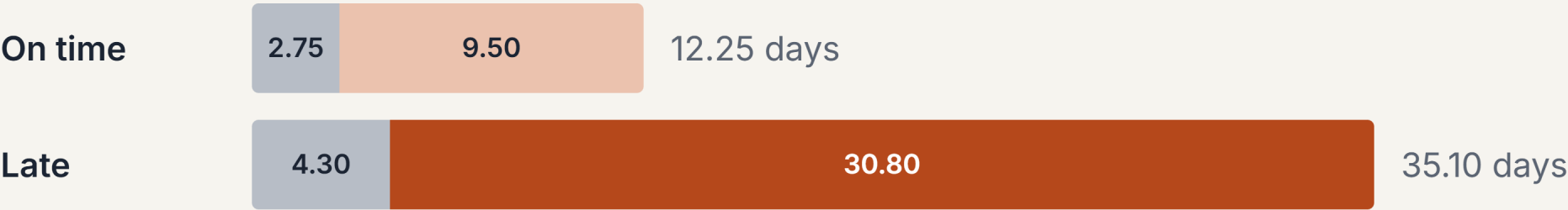
stars on average when a Q1 order arrived late (−1.80 in Q2), on a five-star scale.

Punctuality drives customer satisfaction directly.

3 · CAUSE

Late orders lose their time with the carrier, not the seller

■ Seller: approval to handover ■ Carrier: handover to customer



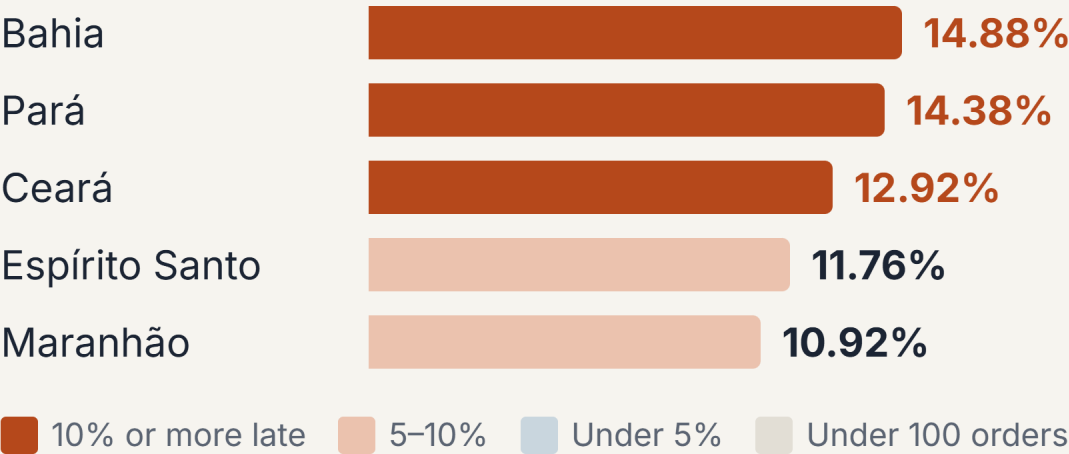
+21.30 days
more with the carrier for late orders

+1.55 days
more with the seller for late orders

Distance may explain part of this. Separating carrier quality from distance is the next check.

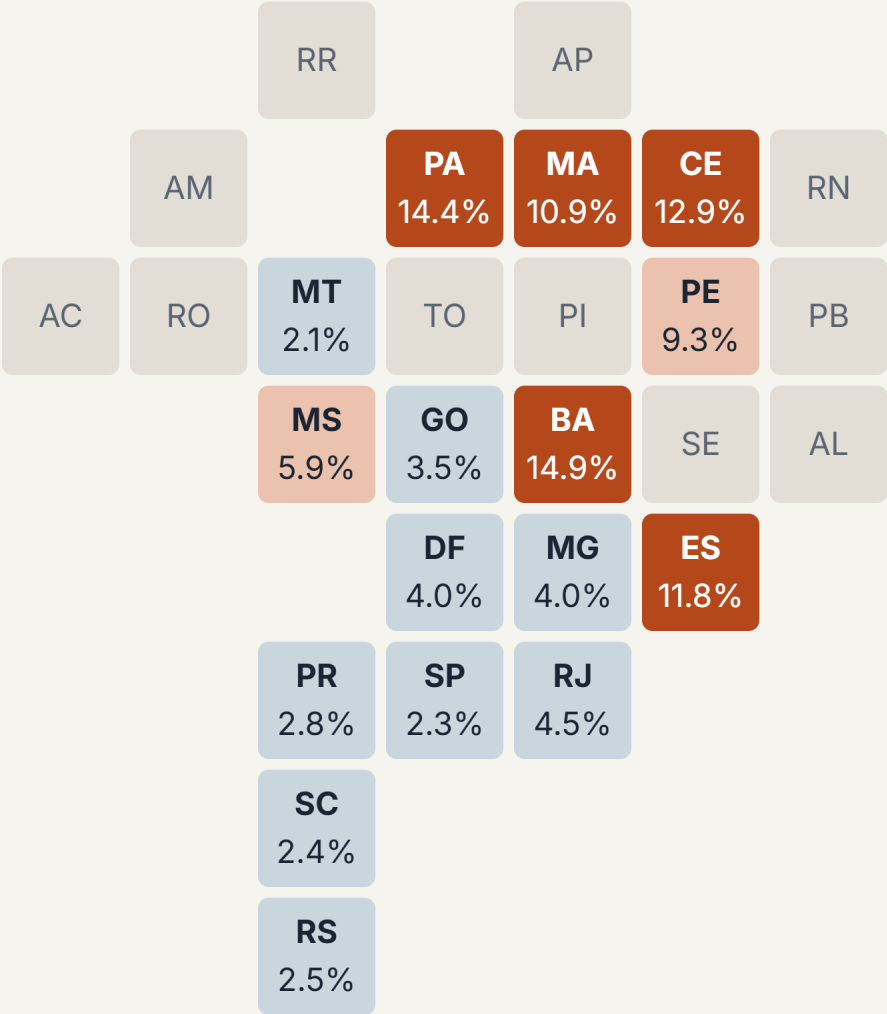
4 · STILL AT RISK

Most states recovered; Bahia, Pará and Ceará still lag



Rio, the biggest Q1 problem at 26.95% late, recovered to 4.45%.

Map: each square is one Brazilian state, placed roughly where it sits on the map.



WHAT TO DO

Recommendations

1

Don't overhaul all carrier contracts

Delivery is already about 5 days faster, and the late rate fell to 4.17%.

From findings 1 and 3

2

Run a carrier review in Bahia, Pará and Ceará

They are still above 12% late in Q2.

From finding 4

3

Track the monthly late rate next to review scores

Reviews show a delivery problem weeks after it happens.

From finding 2

Success measure: the three states' late rate moving toward the national 4.17%.

Data notes and limitations

Definitions

- Period: orders bought January to June 2018. Slide 5 groups by delivery month.
- Late: delivered after the promised date, comparing dates only.
- Orders with several reviews: scores averaged into one.

What was left out

- Orders without a review (159 in Q1, 97 in Q2), from score and state analysis.
- 321 orders with impossible dates, from timing analysis.
- States with under 100 orders, from conclusions.
- Not covered: carrier names, distance, earlier years.

Checks that confirmed the conclusion

−0.06

Cancelled and undelivered orders lower the overall score by only 0.06 stars in Q1, and 0.04 in Q2.

4.10 vs 3.92

Grouped by review date instead of purchase date, Q2 is still better than Q1.

196

Q2 orders still in transit, versus 264 in Q1, so slow undelivered orders don't hide a Q2 problem.

Should we really penalize 3,000 sellers?

Day 1 found that late orders lose about 20 extra days with the carrier, but only about 2 with the seller. The next morning, leadership wants a blanket penalty on every seller anyway.

"Before we trigger a seller revolt, who is actually breaking our promises? I need defensible names on my desk today."

Camila Duarte, Head of Vendor Operations

SQL queries, results and this deck: github.com/shatayuroy77-netizen/olist-logistics-margin-audit